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Chapter: Accounts of 'Not for Profit' Concerns

This chapter explains how organizations that do not aim to make money, like schools or sports clubs, keep track of their finances.

1. What is a 'Not for Profit' Concern?

In the world of business, there are two types of organizations:

- **Trading Organizations:** Their main goal is to earn profit by buying and selling goods (e.g., a grocery store or a mobile shop).
- **Not for Profit Organizations:** Their main goal is to **provide service** to their members or society. They do not engage in trading activities for profit.
- **Examples:** Schools, hospitals, sports clubs, libraries, and social welfare associations.

Real-Life Example:

Think of your local public library. It doesn't exist to make a "profit" like a bookstore does; its main job is to provide you with books to read for free or at a very low cost.

Exam Point (Keyword): The primary objective is **Service**, not profit.

2. Features of 'Not for Profit' Concerns

1. **Service First:** They are formed to promote art, culture, education, sports, health, etc.
2. **No Dividends:** Members do not get a share of any extra money (dividends). Any extra money is used for the organization.
3. **Management:** They are managed by elected representatives (members) called a "Managing Committee."
4. **Accounts Prepared:** They do not prepare a "Profit and Loss Account." Instead, they prepare:
    - **Receipts and Payments Account**
    - **Income and Expenditure Account**
    - **Balance Sheet**
5. **Capital Fund:** Instead of "Capital" owned by one person, they have a **Capital Fund** made of entrance fees, legacies, and surplus money.

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3. Difference Between Profit and Not for Profit Organizations

Point	Profit Organisation	Not for Profit Organisation
Primary Objective	To earn profit.	To provide service.
Trial Balance	Prepared to check accuracy.	Not prepared; Receipts and Payments Account is used instead.
Accounting Result	Net Profit or Net Loss.	Surplus or Deficit.
Capital Fund	Owner's investment.	Accumulated surplus, donations, and subscriptions.

4. Receipts and Payments Account (R&P)

Think of this as a **Summary of the Cash Book**. It records every single Rupee that comes in and every single Rupee that goes out during the year.

- **Type of Account:** It is a **Real Account**.
- **Rule:** Debit what comes in (Receipts), Credit what goes out (Payments).
- **Period:** It records money received or paid for **any year** (last year, this year, or next year) as long as the cash moved *this* year.
- **Nature:** It includes both **Capital** and **Revenue** items (we will explain these below).
- **No Non-Cash Items:** It does **not** record things like depreciation or outstanding expenses because no actual cash moved.

5. Revenue vs. Capital (The Secret to Solving Problems)

To do the accounting correctly, you must know where to put the money:

A. Receipts (Money Coming In)

- **Revenue Receipts:** These happen regularly (recurring).
    - *Examples:* Subscriptions, rent received, interest received.
    - *Where they go:* **Income and Expenditure Account.**

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- **Capital Receipts:** These are non-recurring (once in a while).
    - *Examples:* Specific donations for a building, life membership fees.
    - *Where they go:* **Balance Sheet (Liabilities).**

B. Payments (Money Going Out)

- **Revenue Expenditure:** Regular expenses used up within a year.
    - *Examples:* Salaries, taxes, electricity bills.
    - *Where they go:* **Income and Expenditure Account.**
- **Capital Expenditure:** Spending on things that last a long time (more than a year).
    - *Examples:* Buying land, furniture, or sports equipment.
    - *Where they go:* **Balance Sheet (Assets).**

6. Income and Expenditure Account (I&E)

This is like the "Report Card" for the year. It shows whether the organization saved money or spent too much.

- **Type of Account:** It is a **Nominal Account**.
- **Rule:** Debit all expenses/losses, Credit all incomes/gains.
- **Period:** It records **ONLY** items related to the **Current Year**.
- **Nature:** It records **ONLY Revenue items**.
- **Non-Cash Items:** Unlike the R&P account, this **does** include things like Depreciation and Outstanding Expenses.
- **Result:** * **Surplus:** When Income is more than Expenditure.
    - **Deficit:** When Expenditure is more than Income.

7. Important Accounting Terms & Adjustments

A. Subscriptions

This is the main source of income. It is the amount members pay periodically to keep their membership.

- **Outstanding (Due) Subscription:** Added to income and shown as an **Asset**.
- **Advance Subscription:** Deducted from income and shown as a **Liability**.

B. Donations

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- **General Donation:** Treated as Revenue Income (I&E).
- **Specific Donation:** (e.g., "Donation for Building"). This is a Capital Receipt and goes to **Liabilities**.

C. Legacies

Money or property received as per the **Will** of a deceased person.

- Usually added to the **Capital Fund** on the Liabilities side.

D. Stationery Consumed (The Formula)

You need to find out exactly how much stationery you *used*, not just what you *bought*.

The Formula:

$$\text{Opening Stock} + \text{Purchases during the year} - \text{Closing Stock} = \text{Stationery Consume}$$

- **Opening Stock:** Stationery you already had on April 1st.
- **Purchases:** New stationery bought this year.
- **Closing Stock:** Stationery left over on March 31st (this is an **Asset**).
- **Stationery Consumed:** The final answer goes to the **Expenditure** side of I&E.

8. Summary of Adjustments (Two Effects)

Adjustment	**Effect 1**	**Effect 2**
Outstanding Expense	Add to expense in I&E	Liability in Balance Sheet
Prepaid Expense	Deduct from expense in I&E	Asset in Balance Sheet
Accrued Income	Add to income in I&E	Asset in Balance Sheet
Income in Advance	Deduct from income in I&E	Liability in Balance Sheet
Depreciation	Expenditure side of I&E	Deduct from Asset in B/S

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Summary of the Chapter

1. **Not for Profit Concerns** work for service.
2. **Receipts & Payments** is a cash summary (Real A/c).
3. **Income & Expenditure** shows Surplus or Deficit (Nominal A/c).
4. **Revenue items** go to I&E; **Capital items** go to the Balance Sheet.
5. **Surplus** is added to the Capital Fund; **Deficit** is subtracted.

Key Terms

- **Surplus:** Profit-like result (Income > Expenditure).
- **Deficit:** Loss-like result (Expenditure > Income).
- **Capital Fund:** The total "equity" or net worth of the organization.
- **Subscription:** Regular payment by members.
- **Legacy:** Gift received through a will.

Exam-Oriented Questions & Answers

Q1. What is the main object of a 'Not for Profit' concern?

Ans: The main object is to provide service to its members or society, not to earn profit.

Q2. Why is the Receipts and Payments Account called a 'Real Account'?

Ans: Because it records cash and bank transactions. The rule for Real Accounts is "Debit what comes in, Credit what goes out," which applies perfectly to cash.

Q3. Where is 'Depreciation' recorded?

Ans: It is recorded on the Expenditure side of the Income and Expenditure Account and subtracted from the asset in the Balance Sheet.

Q4. What is 'Capital Fund'?

Ans: It is the excess of Assets over Liabilities. It includes the accumulated surplus, legacies, and capitalized entrance fees.

Q5. How do you treat 'Specific Donations'?

Ans: Specific donations are Capital Receipts. They are shown on the Liabilities side of the Balance Sheet under a specific fund name (e.g., Library Fund).

Would you like me to explain a specific numerical problem from this chapter or help you with the next chapter on Partnership?